1. The price of flour, an input into cookies, increases. What do you expect to happen to the equilibrium price and quantity in the cookie market?

a) Price increases, quantity increases
b) Price decreases, quantity increases
c) Price increases, quantity decreases
d) Price decreases, quantity decreases
e) Price increases, quantity change is indeterminate

2. Which of the following would lead to an increase in the price of electric bikes? (MARK ALL THAT APPLY)

a) An increase in urban populations.
b) Gasoline prices (a substitute for electric bikes) decrease.
c) Lithium-ion batteries (an input for electric bikes) increase in price.
d) New government regulations make electric bikes easier to ride on city roads.
e) A popular social media campaign promotes electric bikes as the "eco-friendly choice."

3. Peanut Butter becomes cheaper. At the same time, strawberries (an input into Jam) become more expensive. What do you expect to happen to the price and quantity sold of Jam (a complement to Peanut Butter) in the Jam Market?

a) Price increases, quantity change is indeterminate
b) Price change is indeterminate, quantity increases
c) Price change is indeterminate, quantity decreases
d) Price decreases, quantity decreases
e) Price decreases, quantity change is indeterminate

4. The price of plastic, an input into Lego, decreases. What do you expect to happen to the equilibrium price and quantity in the market for Lego display cases (a complement to Lego)?

a) Price increases, quantity increases
b) Price decreases, quantity increases
c) Price increases, quantity decreases
d) Price decreases, quantity decreases
e) Price increases, quantity change is indeterminate

5. If Spotify raises the price of its streaming service, which of the following will happen (MARK ALL THAT APPLY)

a) The quantity of spotify subscriptions demanded decreases
b) Demand for spotify subscriptions decreases
c) Demand for Youtube Streaming (a substitute) increases
d) Demand for Youtube Streaming (a substitute) decreases

6. In the market for coconuts, two events occur:

i) A cartoon character named Jimmy Johnson who eats coconuts becomes very popular, every kid wants to be like him

ii) The price of pineapple (assume pineapple is a substitute for coconuts) rises.

What will happen?

a) The equilibrium price will increase, the equilibrium quantity will increase
b) The equilibrium price will decrease, the equilibrium quantity will increase
c) The equilibrium price will increase, the change in equilibrium quantity will be indeterminate
d) The equilibrium quantity will increase, the change in equilibrium price will be indeterminate
e) The equilibrium price will decrease, the change in equilibrium quantity will be indeterminate

7. Demand is $Q^D=105-5P$ and supply is $Q^S=10P$. What is the equilibrium quantity in the market?

a) 7
b) 10
c) 15
d) 100
e) None of the above

China Imports to Help Lower U.K. Inflation to Target, BOE's Taylor Says

8. Above is a recent headline from the Wall Street Journal. What would be the best model for it.

a) Shift right in demand
b) Shift right in supply
c) Shift left in demand
d) Shift left in supply
e) A man in a top hat doing the limbo

9. Which of the following would shift the supply curve to the left in the market for oranges? (MARK ALL THAT APPLY)

a) A disease destroys orange trees
b) The price of farm labor increases
c) The price of apples (a substitute for oranges) falls
d) A new technology is invented that increases orange tree yields
e) Incomes rise

10. Which of the following would shift the demand curve to the left in the market for oranges? (MARK ALL THAT APPLY)

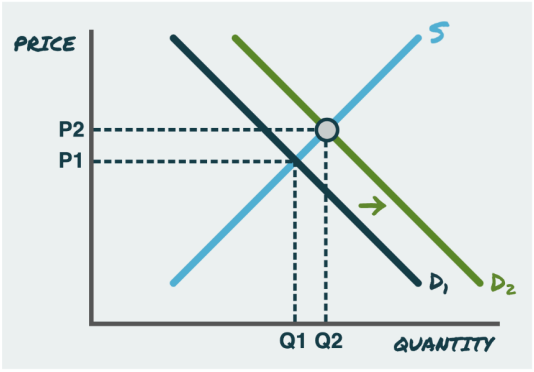
a) A disease destroys orange trees
b) The price of farm labor increases
c) The price of apples (a substitute for oranges) falls
d) A new technology is invented that increases orange tree yields
e) Incomes rise

11. The price of sugar, an input into cookies, decreases. Simultaneously, Ozempic (a weight loss drug that limits appetite and makes people eat less) gains in popularity. What do you expect to happen to the equilibrium price and quantity in the cookie market?

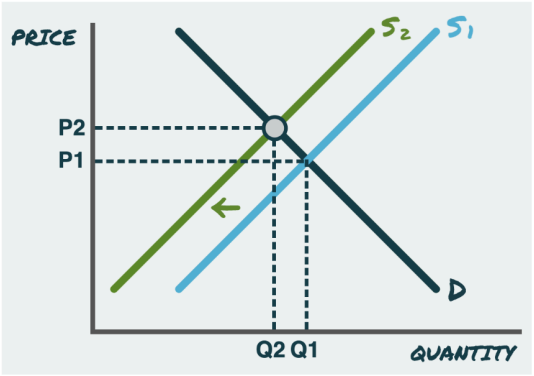
a) Price increases, quantity change is indeterminate
b) Price change is indeterminate, quantity increases
c) Price change is indeterminate, quantity decreases
d) Price decreases, quantity decreases
e) Price decreases, quantity change is indeterminate

Use the following answer set for the next 3 questions

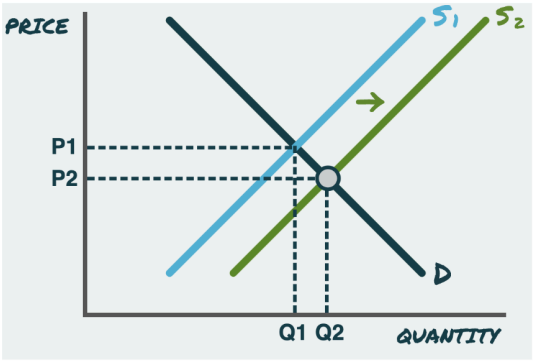
A)



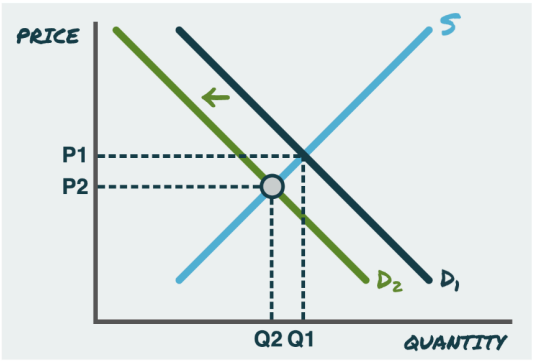
B)



C)



D)



12. The price of socks rise, which graph best depicts what will happen in the market for shoes (a complement to socks)

a) graph A b) graph B c) graph C d) graph D

13. The price of beef rises significantly. What graph represents what will happen to the Market for hamburgers (beef is an ingredient to Hamburgers)?

a) graph A b) graph B c) graph C d) graph D

14. Incomes rise. What graph represents what will happen to the market for inferior goods?

a) graph A b) graph B c) graph C d) graph D

15. The demand curve is given by the equation Q=30-2P, the supply curve is given by the equation Q=P. What is consumer surplus at the equilibrium price?

a) 50
b) 75
c) 100
d) 125
e) None of the above

16. Which of the following is **NOT** a demand curve shifter (MARK ALL THAT APPLY)?

a) Price of the good itself
b) Price of related goods
c) Input prices to make the good
d) Tastes
e) Income

17. Las Vegas passes a new law raising taxes on hotels. At the same time a very popular band announces they will be playing Las Vegas. As a result of these two events, what do you expect to happen to the market for hotel rooms?

a) Price will increase, the change in quantity of hotel rooms rented will be ambiguous
b) Price will decrease, the change in quantity of hotel rooms rented will be ambiguous
c) Price change will be ambiguous, quantity of hotel rooms rented will decrease
d) Price change will be ambiguous, quantity of hotel rooms rented will increase
e) None of the above

18. Jack buys a $5 coffee from his local coffee shop. It is usually $4, but the owner has recently raised the price. Assume the market is at a perfectly competitive equilibrium. Which of the following statements is true (MARK ALL THAT APPLY)

a) Total surplus would have been higher at a different price
b) Jack's consumer surplus is negative
c) Producer surplus is negative
d) Consumer surplus has decreased
e) None of the above

19. It costs the Muffin corporation $3 to make muffin, Holly values the muffin at $5. From a societal standpoint, what should the price be?

a) $3
b) $4
c) $5
d) Any price between $3 and $5 will maximize total surplus
e) No price will maximize surplus

20. Imagine that demand is Q^D=105-5P and supply is Q^S=10P, what is the total surplus in this market at the perfectly competitive equilibrium?

a) $612.5
b) $1470
c) $980
d) $735
e) None of the above

21. Many people decide to become plum farmers. Plums are used to make Plum Jam. Holding other factors constant, this will cause–

a) A decrease in demand for Plum Jam
b) A decrease in the quantity demanded for Plum Jam
c) An increase in demand for Plum Jam
d) An increase in the quantity demanded for Plum Jam
e) Need more information for Plum Jam

22. Which of the following would lead to a decrease in the price of tea? (MARK ALL THAT APPLY)

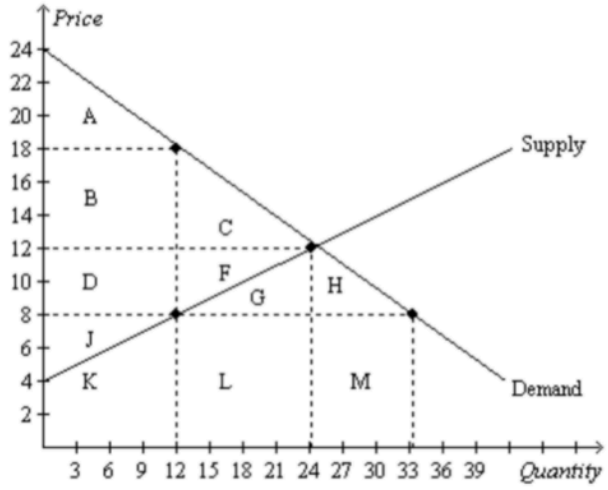
a) A decrease in the population.
b) Coffee (a substitute for tea) increases in price
c) Tea leaves (an input into tea) decreases in price.
d) A study comes out that says Tea will make your skin look better
e) Tea leaves (an input into tea) increases in price.

23. The demand curve is given by the equation Q=30-2P, the supply curve is given by the equation Q=P. What is producer surplus at the equilibrium price?

a) 50
b) 75
c) 100
d) 125
e) None of the above

24. In the market for almonds, which of the following events will definitely decrease producer surplus (**MARK ALL THAT APPLY**)?

a) A storm destroys some of the crop
b) A new technology makes almond picking easier
c) A new study suggests that almonds are bad for you
d) The government increases the minimum wage (minimum wage workers are an input into almond production)
e) None of the above

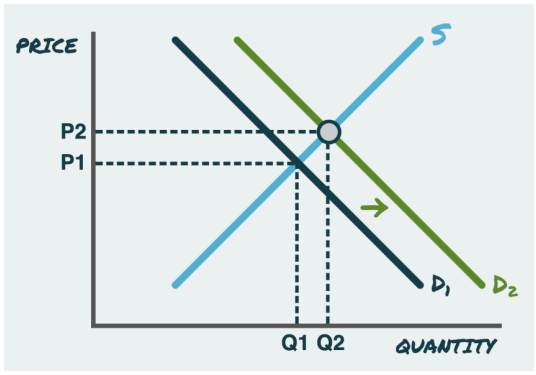


25. Refer to the above graph. What would the consumer surplus be at the perfectly competitive market price of $12?

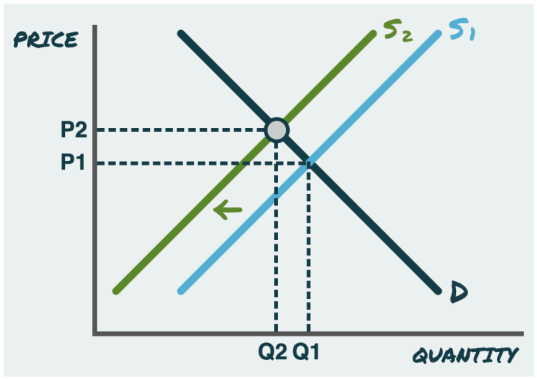
a) ABC
b) CF
c) DFJ
d) ABCDFJ
e) None of the above

26. Which of the following graphs illustrates what happens to the market for jelly when peanuts (an input into peanut butter) increase in price (peanut butter and jelly are complements)

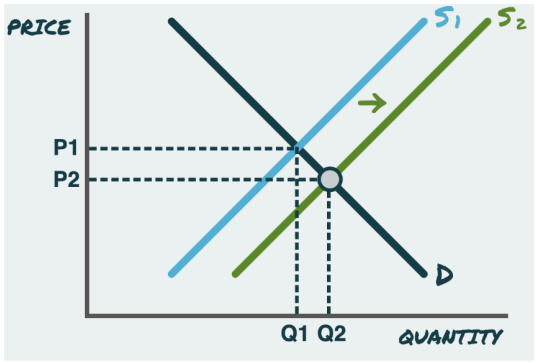
A)



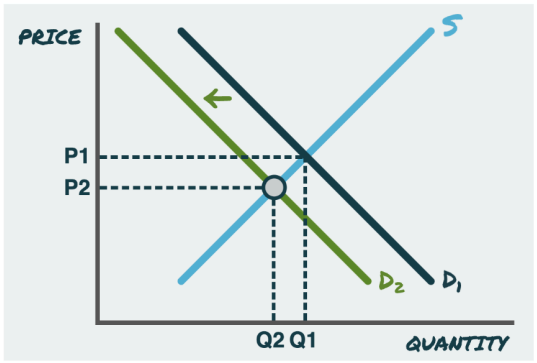
B)



C)



D)



Suppose the market demand curve is

$Q_d=50-2P$

and the market supply curve is

$Q_s=10+3P$

27. What is the equilibrium in this market in perfect competition?

A. P=6, Q=38
B. P=8, Q=34
C. P=10, Q=30
D. P=12, Q=26
E. none of the above

28. Which of the following is most likely to lead to an increase in the market price of nuts **(mark all that apply)**?

a) The cost of hiring nut pickers decreases.
b) Nut butters and jelly are complements, and the price of jelly decreases.
c) The New England Journal of Medicine reports that people who eat two ounces of nuts per day live five years longer than those that do not.
d) A devastating flood occurs on nut farms in California, destroying many nut trees in the process.
e) None of the above.

29. A disease kills a bunch of sugar plants. Sugar is used to make cookies. Holding other factors constant, this will cause–

a) A decrease in demand for cookies
b) A decrease in the quantity demanded for cookies
c) An increase in demand for cookies
d) An increase in the quantity demanded for cookies
e) Need more information for cookies

30. Which of the following would lead to an increase in the price of tea? (MARK ALL THAT APPLY)

a) A decrease in the population.
b) Coffee (a substitute for tea) increases in price
c) Tea leaves (an input into tea) decreases in price.
d) A study comes out that says Tea will make your skin look better
e) Tea leaves (an input into tea) increases in price.

31. I go to Bristol Farms to buy my favorite beer (Le Merle from North Coast Brewing). It is usually 9.99, but it has been marked up to 19.99. I still buy it. Which of the following statements is true (MARK ALL THAT APPLY)

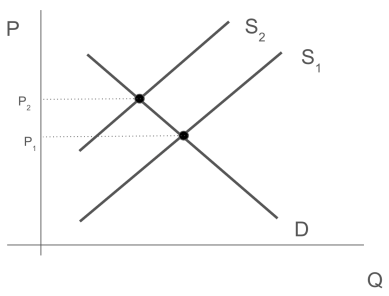
a) Total surplus would have been higher at a different price
b) My consumer surplus is negative
c) Producer surplus is negative
d) Consumer surplus has decreased
e) None of the above

32. The price of sugar, an input into cookies, increases. Simultaneously, Ozempic (a weight loss drug that limits appetite and makes people eat less) gains in popularity. What do you expect to happen to the equilibrium price and quantity in the cookie market?

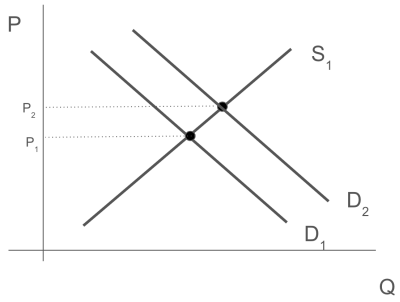
a) Price increases, quantity change is indeterminate
b) Price change is indeterminate, quantity increases
c) Price change is indeterminate, quantity decreases
d) Price decreases, quantity decreases
e) Price decreases, quantity change is indeterminate

33. The Killers are Professor Hill's favorite band (he does not care if this makes him less cool, he is old). He recently paid a lot of money to see them in Las Vegas for the last night of their residency (there is a fixed number of seats at the concert hall). The tickets were sold out and word got out that after the first show that their performance was incredible. Which of the following supply and demand graphs best models tickets on the reselling tickets market for the final Killers show in Vegas–

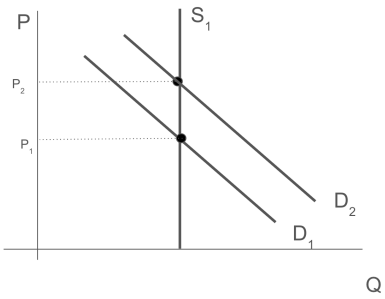
A)



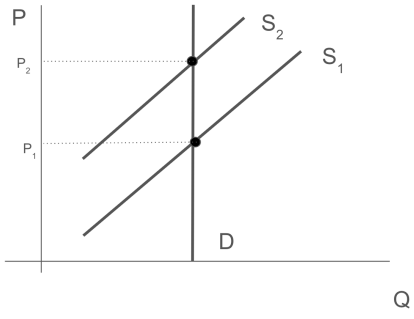
B)



C)

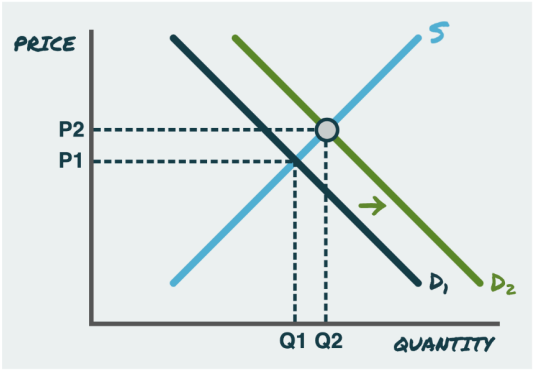


D)

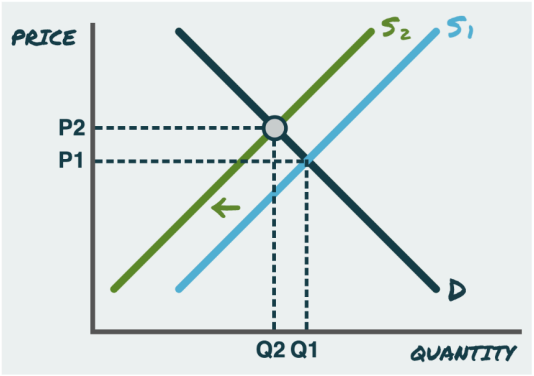


Use the following answer set for the next 3 questions

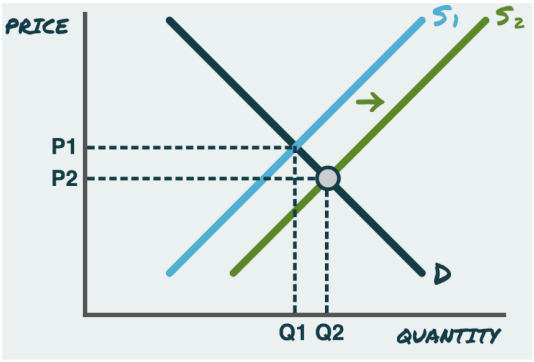
A)



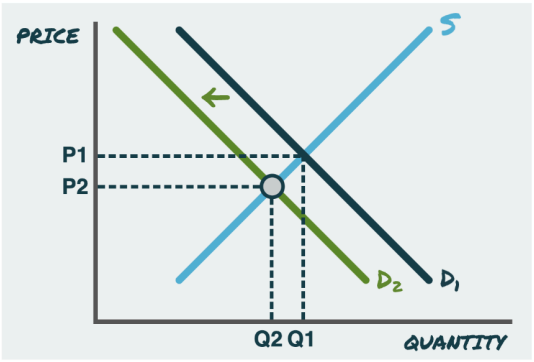
B)



C)



D)



34. A new health study reveals that drinking Le Merle beer decreases the risk of heart disease. Which graph represents what will happen to the Le Merle beer market?

a) graph A b) graph B c) graph C d) graph D

35. The price of beef rises significantly. What graph represents what will happen to the chicken market (a substitute for beef)?

a) graph A b) graph B c) graph C d) graph D

36. The price of crude oil, a key input in plastic production, surges due to geopolitical instability. What graph represents what will happen to the plastic market?

a) graph A b) graph B c) graph C d) graph D